

IMPLICATIONS

The implications of these five problems are twofold. First, many of these costs lead to *lower economic growth*. For example, if loan rates are high because of legacy costs, high-quality investment projects may be foregone, as explained previously. An entrepreneur's high-quality idea may target a 20 percent rate of return – precisely the type of project that accelerates economic growth. If the bank tells the entrepreneur to borrow money on their credit card at 24 percent per year, this seemingly profitable project may never be pursued.

Second, these problems perpetuate or exacerbate *inequality*. Across the political spectrum, most people agree there should be equality of opportunity: a project should be financed based on the quality of the idea and the soundness of the execution plan and not by other factors. Importantly, inequality also limits growth when good ideas are not financed. Though purported to be the land of opportunity, the United States has one of the worst records in migrating income from the bottom quartile to the top quartile.⁴ Inequality of opportunity arises, in part, from lack of access to the current banking system, reliance on costly alternative financing such as payday lending, and the inability to buy or sell in the modern world of e-commerce.

These implications are far-reaching, and, by any calculations, this is a long list of serious problems endemic to our current system of centralized finance. Our financial infrastructure has failed to fully adapt to the digital era in which